ISSUER REVIEW · 6M2026

Hepsor

WATCH

Estonia · Residential and commercial real estate developer (Estonia, Latvia)

Watch. Hepsor posted a EUR 2.2m loss in 1H because few homes were handed over (23 vs 102)[1]. The equity ratio fell to 23.1%, while the bond covenant requires at least 20%[2,3]. Sales contracts are rising (129 homes, +36%, own calculation), and revenue should follow as projects complete[4].

REVENUE · 6M2026	NET PROFIT · 6M2026
6.2 EUR m	-2.21 EUR m
▼ 71.9 % vs 6M2025	▼ 889.3 % vs 6M2025
EQUITY RATIO · 6M2026	**NET DEBT · 6M2026**
23.1 %	56.2 EUR m
▼ 3.7 p. p. vs 6M2025	▲ 38.4 % vs 6M2025

Quick summary

- **Loss due to the cycle:** 1H revenue EUR 6.2m (22.1m), EBITDA EUR -0.9m, net loss EUR 2.2m (profit 0.3m); revenue is recognised only on handover[5].
- **Sales rising:** 129 first-time home sales contracts for EUR 25.7m (95 and 18.5m a year earlier); 513 homes under construction[4,6].
- **Debt rising:** interest-bearing loans EUR 58.7m (47.7m at end-2025); net debt about EUR 56.2m (own calculation); cash EUR 2.5m[7].
- **New bonds:** EUR 5m of 9.5% bonds (2029) issued in September 2026, 2.4x oversubscribed[3].

Key facts

ISSUER RATING
nerasta (no credit rating found)

ANALYSIS DATE
2026-10-22

NEXT REPORT
Q3 2026 interim report - expected late October / November 2026

COUNTRY
Estonia

Securities held

Hepsor AS ordinary share (HPR1T)
EE3100082306 · share

01 Instruments held and ISINs

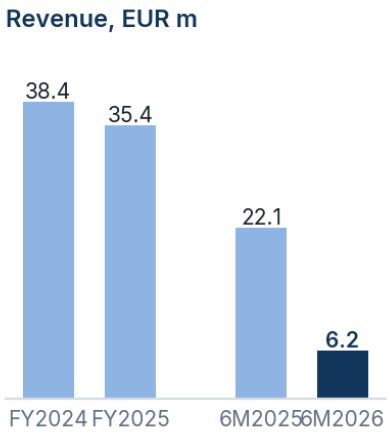
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
EE3100082306	Hepsor AS ordinary share (HPR1T)	–	share		Added from the ISIN list 2026-10-22; terms from the Nasdaq Baltic list

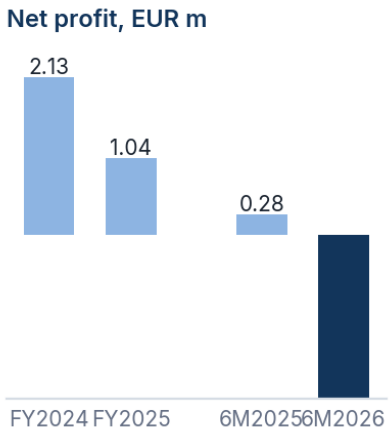
02 Key ratios

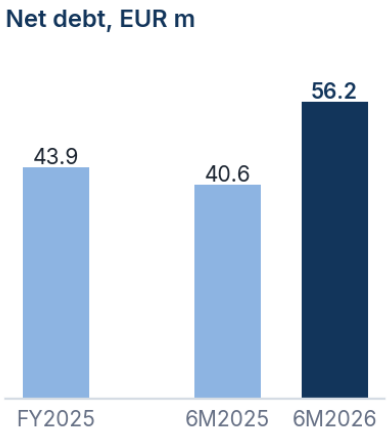
METRIC	FY2024	FY2025	6M2025	6M2026	CHANGE
Revenue, EUR m[8,2]	38.4*	35.4*	22.1*	6.2*	▼ 71.9 % vs 6M2025
EBITDA, EUR m[8,2]	4.54*	3.46*	1.46*	-0.92*	▼ 163.0 % vs 6M2025
Net profit, EUR m[8,2]	2.13*	1.04*	0.28*	-2.21*	▼ 2.49 EURm vs 6M2025
Total assets, EUR m[8,2]	88.8*	91.8*	76.7*	103.7*	▲ 35.2 % vs 6M2025
Equity, EUR m[2]	–	27.1*	20.6*	23.9*	▲ 16.0 % vs 6M2025
Equity ratio[8,2]	24.8%*	29.5%*	26.8%*	23.1%*	▼ 3.7 p. p. vs 6M2025
Net debt, EUR m[9]	–	43.9ᶜ	40.6ᶜ	56.2ᶜ	▲ 38.4 % vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).







03 Business performance review

- **Residential and commercial developer in Estonia and Latvia:** 29 projects, about 195,000 sq m of sellable area, sales potential EUR 542m[10].
- **Next completions:** Manufaktuuri 12 in Tallinn (49 homes, handovers from Q3, 27 sold), Dzelzavas 74C in Riga (103 homes, Q4, 42 sold)[11].

04 Financials

- FY2025 revenue EUR 35.4m (38.4m), profit EUR 1.0m (2.1m), equity ratio 29.5% (24.8%)[8].
- Adjusted equity ratio (with subordinated shareholder loans) 37.9%; EUR 1.06m of dividends paid in 1H[12].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Start handing over Manufaktuuri 12 homes from Q3 2026	Awaiting the Q3 report[11]	Per plan[11].	**In progress**
Launch another 119 homes by year-end	New plan[6]	New[6].	**In progress**

06 Investor information & conclusions

- **Instrument held:** Hepsor AS share (HPR1T, Nasdaq Tallinn); 3,912,522 shares[13]. Market price and dividend policy not found.
- **Debt covenants:** the bonds (EUR 8m 2028 and EUR 5m 2029, both 9.5%) require an equity ratio ≥20% – currently 23.1%[14,3,2].
- **Conclusion:** elevated risk for shareholders – a loss-making half and a thin capital buffer; results should improve as homes are handed over.

07 Market and environment

- **Few completed units to sell:** H1 revenue EUR 6.2m (22.1m) due to a small carry-over of completed unsold apartments – 23 homes handed over (102)[4]; gross margin 6.7% (13.0%), net loss EUR 2.2m[15].
- **Market:** rising construction costs and dearer borrowing with flat rents hurt commercial projects; housing demand is growing strongly, so the Veidema quarter in Riga is being switched to residential[11].
- **Outlook:** 513 homes under construction (255 a year earlier), a basis for future revenue; first-time sales of 129 homes for EUR 25.7m[4].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.63% (2026-10)	2.43%	2.03%	▲ 0.60 p. p.
6-month Euribor	2.97% (2026-10)	2.65%	2.11%	▲ 0.87 p. p.
12-month Euribor	3.24% (2026-10)	2.86%	2.19%	▲ 1.05 p. p.
Euro area AAA government 10-year yield	3.29% (2026-11)	3.34%	2.77%	▲ 0.52 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

Automatic news scan (Google News, EE), 2026-08-10 – 2026-11-08: 3 articles.

2026-10-28	ATTENTION	Hepsori juht: lõpetame aasta kahjumis Ehitusuudised
2026-10-28	RESULTS	Hepsor AS 2026 III kvartali ja 9 kuu konsolideeritud auditeerimata vahearuanne GlobeNewswire
2026-10-28	OTHER	Hepsori müük kolmandas kvartalis kukkus ja võlakoorem kasvas Äripäev

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
- Real estate development
- No activity in excluded sectors[16].

✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
- No UN Global Compact or OECD related controversies found.

✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
- Not found on the UN, US OFAC consolidated sanctions lists (automatic check 2026-11-08).

Manual check
- OFAC sanctions search[17]
- EU Sanctions Map[18]
- SEB eNameChecker (internal SEB system).

✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
- No adverse news found (2026-10-22).
- News summary 2026-08-10 – 2026-11-08: 3 articles, 1 with an adverse keyword in the headline (details in the section "In the press").
- Headlines with an adverse keyword: „Hepsori juht: lõpetame aasta kahjumis“ (Ehitusuudised, 2026-10-28).

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
- The company says it uses innovative engineering solutions that make its buildings more energy-efficient[16].

– **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
- No climate targets or sustainability report found.

✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- No yellow flags found.

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable
- The Real Estate and Construction policy[19].

Met
- Energy-efficient new buildings in the EU[16].

Could be improved
- No sustainability report or transition plan found.

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: a small developer with no ESG risks found.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- New buildings are built energy-efficient[16].

Additional comments:

Conclusion: No exclusions or red flags. No sustainability report.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Real Estate and Construction sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

1. Hepsor - Consolidated unaudited interim report Q2 2026, p. 6, 20, 2026-07-28
2. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 2026-07-28
3. Hepsor - Bonds 2026 (Series II), 2026-09-07
4. Hepsor - Consolidated unaudited interim report Q2 2026, p. 6, 2026-07-28
5. Hepsor - Consolidated unaudited interim report Q2 2026, p. 4, 20, 2026-07-28
6. Hepsor - News: record construction volumes and 9.5% bonds, 2026-08-24
7. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 23, 2026-07-28
8. Hepsor - Key financials (investor web page), 2026-10-22
9. Hepsor - Consolidated unaudited interim report Q2 2026, p. 29, 2026-07-28
10. Hepsor - Consolidated unaudited interim report Q2 2026, p. 8, 13, 2026-07-28
11. Hepsor - Consolidated unaudited interim report Q2 2026, p. 7, 2026-07-28
12. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 22, 2026-07-28
13. Hepsor - Consolidated unaudited interim report Q2 2026, p. 26, 2026-07-28
14. Hepsor - 9.5% bond 2025-2028, 2026-10-22
15. Hepsor - Consolidated unaudited interim report Q2 2026, p. 21, 22, 2026-07-28
16. Hepsor - Consolidated unaudited interim report Q2 2026, p. 4, 2026-07-28
17. OFAC Sanctions List Search (US Treasury)
18. EU Sanctions Map
19. SEB Real Estate and Construction sector policy (2026-04-23), p. 6-10, 2026-04-23

Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.